



Building New Paths



ARPICO INSURANCE PLC
Interim Financial Statements
For the period ended 30th June 2025

Arpico Insurance PLC
Interim Financial Statements - Quarter 2 - 2025

Income Statement

For the period ended 30 June	Note	Un-Audited 2025 LKR	Un-Audited 2024 LKR
Gross Written Premium	4	857,853,092	968,644,906
Premium ceded to reinsurers	5	(43,387,735)	(44,040,251)
Net written premium		814,465,357	924,604,655
Other revenue			
Fees and commission income		7,772,718	12,511,417
Investment income	6	265,950,414	289,885,777
Fair value gains		6,090,102	7,446,644
Other operating revenue		1,943,470	1,044,064
Total Other revenue		281,756,704	310,887,902
Total net revenue		1,096,222,061	1,235,492,557
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(440,442,828)	(580,256,133)
Net change in insurance claims outstanding		7,449,880	(10,850,543)
Underwriting and net acquisition costs		(226,580,887)	(263,662,793)
Change in contract liabilities - life fund	7	(8,870,397)	163,800,513
Other operating, administrative and selling expenses		(290,298,126)	(353,813,890)
Depreciation and amortisation		(68,965,489)	(59,378,158)
Total benefits, claims and expenses		(1,027,707,847)	(1,104,161,004)
Profit/(Loss) before Taxation		68,514,214	131,331,553
Income Tax Expense	8	(19,340,371)	(35,168,014)
Profit/(Loss) for the Period	9	49,173,843	96,163,539
Profit/(Loss) attributable to:			
Equity holders of the Company		49,173,843	96,163,539
Basic Earning per Share (LKR)		0.74	1.45
Diluted Earning per Share (LKR)		0.74	1.45

Statement of Other Comprehensive Income

	Un-Audited 2025 LKR	Un-Audited 2024 LKR
For the period ended 30 June		
Profit/(Loss) for the Period	49,173,843	96,163,539
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	28,321,481	74,647,152
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	(10,599,551)	(12,126,785)
Net change in fair value of AFS reserve transferred to insurance Liabilities	10,599,551	12,126,785
Items that will never be reclassified to profit or loss		
Actuarial loss on defined benefit plan		
Total Other comprehensive income, net of tax	<u>28,321,481</u>	<u>74,647,152</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>77,495,324</u>	<u>170,810,691</u>

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Income Statement

For three months ended 30 June	Un Audited 2025 LKR	Un Audited 2024 LKR
Gross Written Premium	410,369,213	400,404,408
Premium ceded to reinsurers	(21,830,562)	(21,771,889)
Net written premium	388,538,651	378,632,519
Other revenue		
Fees and commission income	3,304,493	7,215,476
Investment income	126,370,191	152,057,021
Fair value gains	2,960,337	3,308,032
Other operating revenue	1,262,188	518,476
Total Other revenue	133,897,209	163,099,005
Total net revenue	522,435,860	541,731,524
Benefits, claims and expenses		
Net Insurance Benefits and Claims Paid	(233,545,220)	(259,026,995)
Net change in insurance claims outstanding	35,614,051	(10,102,472)
Underwriting and net acquisition costs	(121,159,578)	(165,834,556)
Change in contract liabilities - life fund	35,825,936	176,828,280
Other operating, administrative and selling expenses	(155,566,817)	(183,619,156)
Depreciation and amortisation	(36,584,518)	(35,068,560)
Total benefits, claims and expenses	(475,416,146)	(476,823,459)
Profit/(Loss) before Taxation	47,019,714	64,908,065
Income Tax Expense	(9,680,021)	(15,987,974)
Profit/(Loss) for the Period	37,339,693	48,920,091
Profit/(Loss) attributable to:		
Equity holders of the Company	37,339,693	48,920,091
Basic Earning per Share (LKR)	0.56	0.74
Diluted Earning per Share (LKR)	0.56	0.74

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Statament of Other Comprehensive Income

For three months ended 30 June	Un Audited 2025 LKR	Un Audited 2024 LKR
Profit/(Loss) for the Period	37,339,693	48,920,091
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	51,034,453	(50,938,642)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets	5,494,600	21,059,151
Net change in fair value of AFS reserve transferred to insurance Liabilities	(5,494,600)	(21,059,151)
Items that will never be reclassified to profit or loss		
Total Other comprehensive income, net of tax	51,034,453	(50,938,642)
Total comprehensive Income/(Loss) for the Period, Net of Tax	88,374,146	(2,018,551)

STATEMENT OF FINANCIAL POSITION

As at	Note	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Assets			
Intangible assets		7,088,605	7,252,280
Property, plant and equipment		31,719,098	41,808,801
Right of use assets	10	227,530,299	171,032,028
Deferred Tax Asset		90,000,000	90,000,000
Financial assets	11	4,224,974,329	4,262,978,831
Loans to life policyholders		207,162,086	199,044,250
Reinsurance receivables		7,327,853	10,519,552
Amounts due from related parties	13	6,684,902	5,936,182
Premium receivable		48,443,348	59,716,100
Other assets		136,730,995	107,691,105
Cash and cash equivalents		157,540,761	53,869,097
Total Assets		5,145,202,276	5,009,848,226
Equity and Liabilities			
Equity			
Stated capital	16	675,564,870	675,564,870
Retained earnings		1,055,173,813	1,005,999,971
Available for sale reserves		187,834,664	159,513,183
Total Equity		1,918,573,347	1,841,078,024
Liabilities			
Insurance contract liabilities	12	2,735,180,337	2,715,710,389
Employee benefit obligation		19,207,292	15,878,745
Reinsurance payables		1,632,306	8,696,647
Lease liabilities	10	267,928,053	208,113,822
Amounts due to related parties	13	6,899,946	7,114,065
Other financial liabilities		175,615,110	177,860,728
Other liabilities		20,165,884	35,395,805
Total Liabilities		3,226,628,929	3,168,770,202
Total Equity and Liabilities		5,145,202,276	5,009,848,226

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



S.H. Dulanjith Kaweesha
Financial Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Ramal Jasinghe
Chairman
15, August 2025
Colombo.



Kelum Senanayake
Director / Chief Executive Officer

Arpico Insurance PLC
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STATEMENT OF CHANGES IN EQUITY

	Stated Capital LKR	AFS Reserve LKR	Retained Earnings LKR	Total LKR
Audited Balance as at 01 January 2024	675,564,870	(35,537,005)	770,448,880	1,410,476,745
Profit for the period			96,163,539	96,163,539
Actuarial loss on defined benefit plan			-	-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		74,647,152		74,647,152
Total Comprehensive Income for the Period, Net of Tax				
Un-Audited Balance as at 30th June 2024	675,564,870	39,110,147	866,612,419	1,581,287,436
Profit/(Loss) for the period			138,727,359	138,727,359
Actuarial loss on defined benefit plan			660,193	660,193
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		120,403,036		120,403,036
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31th December 2024	675,564,870	159,513,183	1,005,999,971	1,841,078,024
Profit/(Loss) for the period			49,173,843	49,173,843
Actuarial loss on defined benefit plan				-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		28,321,481		28,321,481
Total Comprehensive Income for the Period, Net of Tax				
Un-Audited Balance as at 30th June 2025	675,564,870	187,834,664	1,055,173,814	1,918,573,348

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STATEMENT OF CASH FLOWS

For the period ended 30 June	Un-Audited 2025 LKR	Un-Audited 2024 LKR
Cash flows from operating activities		
Insurance premium received	844,979,155	1,018,270,843
Reinsurance premium paid	(50,452,076)	(58,753,758)
Insurance benefits and claims paid	(422,921,047)	(591,181,556)
Reinsurance claim received	3,191,699	9,428,042
Other operating cash flows	(537,060,213)	(512,841,834)
Cash generated from operating activities	(162,262,482)	(135,078,263)
 Tax Paid	 (10,423,603)	 (10,092,123)
Employee benefits paid	(522,500)	(869,185)
Net cash generated from operating activities	(173,208,585)	(146,039,571)
 Cash flows from investing activities		
Acquisition of financial investments	(564,839,428)	(473,622,924)
Proceeds from sale/maturity of investment securities	631,165,412	396,428,932
Interest/Dividend received	265,950,414	289,885,777
Acquisition of property, plant and equipment	(772,970)	(2,382,881)
Net Acquisition of ROU Asset	(54,623,180)	(51,582,115)
Net Cash Used in Investing Activities	276,880,248	158,726,789
 Net Cash Flows Before Financing Activities	103,671,663	12,687,217
 Cash flows from financing activities		
	-	-
Net cash used in financing activities	-	-
 Net increase / (Decrease) in cash and cash equivalents	 103,671,663	 12,687,217
Cash and cash equivalents at the beginning of the year	53,869,098	56,396,474
Cash and cash equivalents at the end of the period	157,540,761	69,083,691

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 30th June 2025 were authorised for issue by the Board of Directors on 15th August 2025.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value and investment properties valued at fair value.

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2024. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated in the Audited Financial Statements for the year ended 31 December 2024.

4. Gross Written Premium

For the Period Ended 30 June	Un-Audited 2025 LKR	Un-Audited 2024 LKR
First year premium	332,604,919	277,435,898
Renewal premium	508,952,505	437,181,772
Group premium	16,295,668	254,027,236
	857,853,092	968,644,906

5. Premium Ceded To Reinsurers On Insurance Contracts

For the Period Ended 30 June	Un-Audited 2025 LKR '000	Un-Audited 2024 LKR '000
Conventional policies		
Total premium ceded to reinsurers	43,387,735	44,040,251
Total net written premium	814,465,357	924,604,655

Notes to the Financial Statements

6. Investment income

For the Period Ended 30 June	Un-Audited 2025 LKR	Un-Audited 2024 LKR
Held to maturity financial assets		
Interest Income	82,703,235	87,816,949
Loans and receivables		
Interest Income	135,619,173	166,255,594
Available For Sale Financial Assets		
Interest Income	16,027,350	35,813,234
Dividend income	31,600,656	-
	265,950,414	289,885,777

7. Change in contract liabilities - life fund

As per the requirement of SLFRS 4 ,the Liability Adequacy Test with respect to Life insurance provision was performed as at 31st December 2024 .

8. Income Tax Expense

For the Period Ended 30 June	Un-Audited 2025 LKR	Un-Audited 2024 LKR
Income tax on current period profit	19,340,371	35,168,014
Total current income tax	19,340,371	35,168,014

9. Profit/(Loss) from life insurance

No surplus or deficit transfer has been made from the life insurance fund to the Income Statement for quarter ended 30th June 2025.

10. Right of Use Assets

As at	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Opening balance	171,032,028	198,167,665
Additions of right of use lease asset during the period	109,187,876	85,070,180
Depreciation for the period	(55,314,372)	(119,121,357)
Advance payment for leases	2,624,767	6,915,540
Closing balance	227,530,299	171,032,028
Lease liabilities		
As at	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Opening balance	208,113,822	221,777,381
Additions during the period	109,187,876	85,070,179
Finance cost recognised in profit and loss	17,556,074	41,059,180
Lease payments	(66,929,719)	(139,792,918)
Closing balance	267,928,053	208,113,822

Notes to the Financial Statements

11. Financial Assets

As at	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Loans and receivables (11.1)	2,402,623,204	2,232,094,687
Available-for-sale financial assets (11.2)	826,386,927	780,240,836
Held to Maturity (11.3)	857,522,449	1,118,291,661
Fair Value through profit & Loss (11.4)	138,441,749	132,351,647
	4,224,974,328	4,262,978,831

11.1 Loans and receivables

	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Amortised cost		
Debentures	461,517,478	471,257,072
Fixed deposit	843,165,811	1,072,650,120
Reverse repurchase agreements	938,319,272	436,742,023
RPAF loan	0	100,003,164
Commercial Paper	159,620,643	151,442,308
	2,402,623,204	2,232,094,687

Available-for-sale financial assets

	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
11.2 Treasury bonds	340,645,950	332,894,050
Quoted equities	485,740,977	447,346,786
	826,386,927	780,240,836

11.3 Held to Maturity

	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Treasury bonds	857,522,449	1,118,291,661
	857,522,449	1,118,291,661

11.4 Fair Value through profit & Loss

	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Unit trust	138,441,749	132,351,647
	138,441,749	132,351,647

12. Insurance Contract Liabilities

As at	Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Balance as at 1 January	2,715,710,389	2,885,863,883
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	8,870,397	(181,059,252)
Surplus transferred from / (to) shareholders	-	-
Increase in life insurance fund	8,870,397	(181,059,252)
Movement in AFS reserve transferred to life fund	10,599,551	10,905,758
Life Insurance Fund balance as at period end	2,735,180,337	2,715,710,389

13. Related Party Transactions

13.1 Amounts Due to Related Party

As at		Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	6,899,946	7,114,065
Richard Pieris Distributors Limited	Fellow Subsidiary	-	-
		<u>6,899,946</u>	<u>7,114,065</u>

13.2 Amounts Due From Related Parties

As at		Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	-	-
Richard Pieris Distributors Limited	Fellow Subsidiary	6,684,902	5,936,182
		<u>6,684,902</u>	<u>5,936,182</u>

Investments in related parties

As at		Un-Audited 30.06.2025 LKR	Audited 31.12.2024 LKR
Related Party	Relationship		
Richard Pieris Finance PLC	Fellow Subsidiary	204,424,658	-

14. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31 December 2024, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

15. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

16. Stated Capital

As at 30th June	Un-Audited 2025 LKR	Audited 2024 LKR
Ordinary Shares	675,564,870	675,564,870
	<u>675,564,870</u>	<u>675,564,870</u>
No of Ordinary Shares	66,230,407	66,230,407

17. Share Information

17.1 Net Assets Per Share

As at 30 th June	Un-Audited 2025 LKR	Un-Audited 2024 LKR
Net Assets Per Share	28.97	23.88

17.2 Market Price Per Share

For the quarter ended 30 th June	2025 LKR	2024 LKR
Highest Price	27.00	26.60
Lowest Price	24.00	20.90
Closing Price	27.00	23.80
Market Capitalization	1,764,799,002	1,576,283,687
Float Adjusted Market capitalization	179,020,908	157,803,615

18. Public Shareholding

For the quarter ended 30 th June	2025		2024	
	No of Shares	%	No of Shares	%
Public Shareholding	6,630,404	10%	6,630,404	10%

19. Directors' Shareholding

As at 30 th June	2025	2024
Mr.Ramal Jasinghe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mr.Yudhistran Kanakasabai	Nil	N/A
Mr.Kelum Sennayake	Nil	N/A
Mr.Rohan Muttiah	Nil	N/A
Mrs. Lasinee Serasinhe (Ceased to hold office w.e.f. 27th May 2024)	N/A	Nil
Mrs. Dilukshika Fernando	N/A	Nil

20. Twenty Largest Shareholders as at 30th June 2025

Name of Shareholder	No of Shares	%
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.83%
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	27.22%
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	23.14%
4 MR.D.G.WIJEMANNA	2,269,786	3.47%
5 MRS.T.T.A.DE SILVA WEERASOORIA	1,101,076	1.68%
6 MR.R.P.WEERASOORIYA	801,980	1.23%
7 T R L HOLDINGS (PVT) LIMITED	311,400	0.48%
8 MR.B.T.DE S WEERASOORIA	309,986	0.47%
9 MR.D.P.NAVARATNAM	154,000	0.24%
10 MR.S.A.OBEYESEKERE	103,300	0.16%
11 TRADING PARTNERS (PVT) LTD	100,000	0.15%
12 FLYBRUNEI SDN BHD	99,700	0.15%
13 MR.T.A.N.GOMIS	98,825	0.15%
14 MR.M.L.A.BENEDICT	92,214	0.14%
15 MR.H.A.S.MADANAYAKE	78,300	0.12%
16 PEOPLE'S LEASING & FINANCE PLC	54,894	0.08%
17 MR. M. R. BANDARATHILAKA	51,626	0.08%
18 MRS. S. UMESHWARY	50,000	0.08%
19 MR. M. MAHIBALAN	45,836	0.07%
20 MR.G.C.GOONWTHILLEKE	40,000	0.06%
Others	65,362,926	100.00%
Total	867,481	1.33%
	65,362,926	100.00%



ARPICO INSURANCE PLC

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